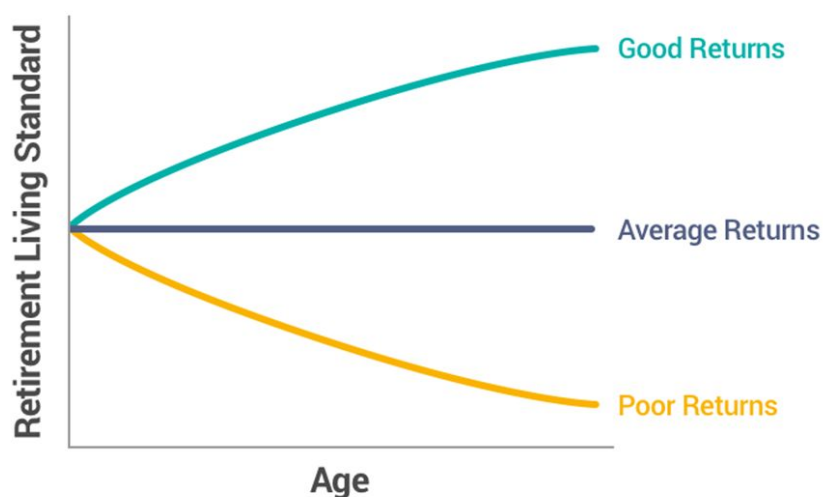


patterns of spending over time. Generally, for strategies that adjust spending in response to portfolio performance, the pattern of spending in retirement will relate to what is shown in Exhibit 6.1. With strong portfolio performance, the standard of living (spending amount) can rise during retirement, while average returns may keep the living standard more consistent, and poor returns will lead to a reduced standard of living.

Exhibit 6.1

The Relationship between the Retirement Living Standard and Market Returns



Beyond this, different variable spending strategies will allow for different manifestations of this trend in retirement. Three general patterns for spending in retirement are illustrated in Exhibit 6.2. Some strategies may allow for a higher initial level of spending, with a spending path that decreases on average over time (at least in real terms). For a simple example, a strategy that calls for spending a fixed amount without inflation adjustments will represent such a pattern. Other strategies may leave spending more stable in inflation-adjusted terms, at least on average. If the spending level exceeds what the yield curve for interest rates can support, then the strategy seeks to “amortize the upside” with the hope that subsequent market returns can justify keeping the higher spending level constant. Finally, strategies might start with lower spending to reflect what the bond yield curve can support and then work to increase spending over time if and when upside growth materializes. These patterns connect closely to the initial withdrawal rate in retirement, as spending patterns that will include more spending reductions over time can start with a